2008-09. Inflation-adjusted rural wages also went up by 7.5 per cent during this period.

- The ***input costs*** for producers in both the food and non-food segments, as reflected in the prices of feed, fodder and other inputs also increased. An increase in Minimum Support Price (MSP), while necessary to ensure remunerative returns to farmers, raised the floor prices and also contributed to the rise in input prices.

## Q. 51 Briefly describe the recent steps taken by the GoI in the area of sugar sector reforms.

**Ans.** India is the largest consumer and second largest producer of sugar after Brazil. Sugar and Sugarcane are notified as essential commodities under the Essential Commodities Act 1955. The production of sugarcane during 2012-13 is estimated at 334.54 million tonnes. However, the Indian sugar sector suffers from policy inconsistency and unpredictability. The Sugar industry in India is over-regulated and prone to *cyclicality* due to price interventions. Deregulation of the sugar industry has been widely debated for a long time. From a purely economic point of view, greater play of market forces would provide better prices and serve the interests of all stakeholders. The government should come into the picture only in situations where absolutely necessary. Export bans and controls could be replaced with small variable external tariffs to stabilise prices.

A report on *'Regulation of the Sugar Sector in India: The Way Forward'* has been submitted by the Committee under the chairmanship of Dr C. Rangarajan, Chairman of the Economic Advisory Council to the Prime Minister – the measures suggested are as follows –

(i) phasing out cane reservation area;

(ii) dispensing with minimum distance criteria;

(iii) dispensing with the levy sugar system;

(iv) states that want to provide sugar under the PDS may procure it from the market according to their requirement, fix the issue price and subsidize from their own budgets (Till April 4, 2013, when the GoI 'decontrolled' the sugar industry from the burden of 'levy' to the tune of 10 per cent of their total production, there was an implicit